

Type of enterprise	Minimum number of times fixed charges earned (Average interest coverage)	Minimum ratio of stock value to bonded debt (Stock-value ratio)
Public utilities	1 ³ / ₄	\$1 of stock to \$2 of bonds
Railroads	2	\$1 of stock to \$1.50 of bonds
Industrials	3	\$1 of stock to \$1 of bonds

Income Bonds Equivalent to Stock Equity. In Chap. 9 we pointed out that since interest on income bonds is not a fixed charge, it need not be included in the total charges on which coverage is to be calculated. Similarly, the principal amount of such bonds is not to be included in the total funded debt that is to be compared with the stock equity. Not only is this so, but it is true also that junior income bonds (of long maturity) are so close in their character to preferred stock that their market value may properly be considered as part of the stock equity (or rather “income bond and stock equity”) junior to, and protecting, the fixed-interest bonds.

Example:

Colorado Fuel and Iron General (First) 5s, due 1943, price June 30, 1939, 103 ¹ / ₂ yielding 3.90%		
Amount outstanding		\$ 4,483,000
Income bond and stock equity June 30, 1939:		
\$11,035,000 Income 5s due 1970	@ 45	4,966,000
564,000 shares common stock	@ 12 ¹ / ₂	7,050,000
315,000 stock purchase warrants	@ 4 ¹ / ₄	1,339,000
Total equity		\$13,355,000

In this case the technical position of the 1st mortgage 5s is entirely different by virtue of the fact that the junior lien is an income bond than it would be if the latter carried fixed interest. That this is true is shown in striking fashion by reference to the situation prior to the reorganization of 1936. In the former setup the First 5s were followed by a large fixed-interest bond issue, the requirements of which (including their maturity) precipitated a receivership in 1933, following which the First 5s sold as low as 30.

Significance of Unusually Large Stock-Value Ratio. As we have previously intimated, if the stock-value ratio were always proportionate to the interest